Day 90 gate at the end of Month 3
Owner: Lucy decides, Mark prepares the numbers
Step 1: check the five kill triggers. Step 2: check the six pass tests

Legend. TACOS: total advertising cost of sales (ad spend divided by total revenue). SKU: stock keeping unit. PO: purchase order. IP: intellectual property. Contribution: price minus landed cost, referral, FBA fee and returns, before advertising. Hero SKU: 8K 10M. Thresholds from the kill criteria in the risk register.

Kill trigger 1
Hero SKU conversion below 5%?

Kill trigger 2
TACOS above 40% in Month 3?

Kill trigger 3
Return rate above 7%?

Kill trigger 4
Hero contribution before advertising below $8 per unit?

Kill trigger 5
Cash runway below 2 months?

Yes Yes Yes Yes Yes No No No No No

KILL. Any one trigger kills. No further capital. Sell down inventory, delist losers, move to Plan B: B2B installer distribution plus Korea wholesale

No kill trigger hit. Now all six pass tests must pass

Pass test 1
Conversion at or above 8% on at least 3 of the 5 launch SKUs?

Pass test 2
TACOS at or below 30% in Month 3 and falling month over month?

Pass test 3
Return rate at or below 4%?

Pass test 4
Contribution before advertising at or above $11 per unit on at least 3 of 5 SKUs?

Pass test 5
Cash runway at or above 4 months after funding the next PO?

Pass test 6
No suppressed listing and no IP complaint open more than 14 days?

Yes Yes Yes Yes Yes Yes No No No No No No

All six pass

SCALE. Ocean freight PO on proven SKUs, delist losers, keep air for new SKUs, next review at Month 12

Month 12 gate. Pass needs all of: revenue at or above $70K per month, cumulative net at or above $0, TACOS at or below 15%, return rate at or below 3%, operating cash flow positive two months in a row.
Kill on any one of: revenue below $50K per month, cumulative net below ($25K), TACOS above 25%, return rate above 5%, three months of negative operating cash flow with a funding gap above $50K

HOLD. Fix the failed test and retest in 30 days. No new capital beyond the committed PO. One retest only, then pass or kill

Retest once